Annex V. Public Sector Debt Sustainability Analysis

Figure 1. Peru: Debt, Economic and Market Indicators[1/]

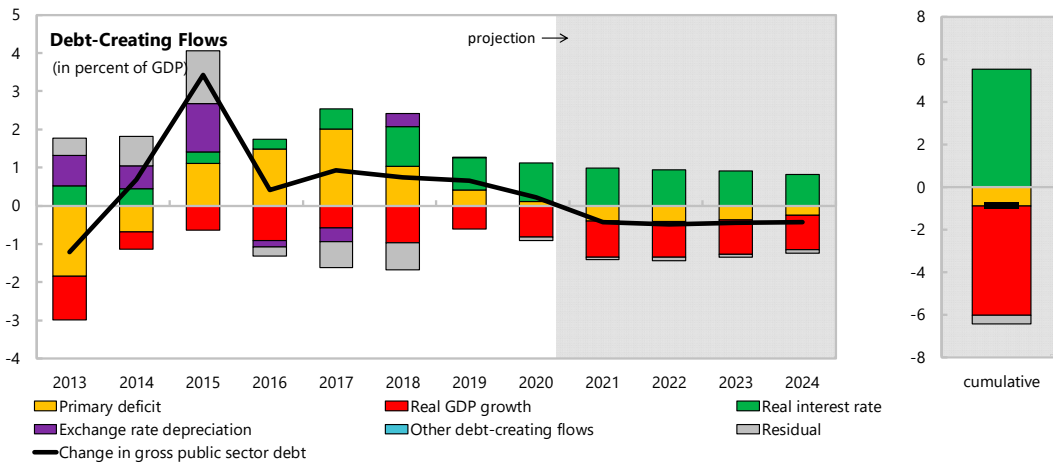
Debt, Economic and Market Indicators [1/]

	Actual			Projections					
	2008-2016 [2/]	2017	2018	2019	2020	2021	2022	2023	2024
Nominal gross public debt	23.9	25.4	26.2	26.8	27.0	26.6	26.1	25.7	25.3
Of which: guarantees	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Public gross financing needs	1.6	5.7	3.8	2.1	2.2	1.7	1.8	2.6	3.4
Real GDP growth (in percent)	5.2	2.5	4.0	2.4	3.2	3.7	3.7	3.7	3.7
Inflation (GDP deflator, in percent)	3.4	2.8	1.3	2.1	1.9	2.0	2.0	2.0	2.0
Nominal GDP growth (in percent)	8.4	6.4	6.0	4.5	5.4	5.9	5.9	5.9	5.9
Effective interest rate (in percent) [4/]	5.3	5.2	5.6	5.6	6.0	5.9	5.8	5.8	5.4

As of November 19, 2019		
Sovereign Spreads		
EMBIG (bp) 3/		131
5Y CDS (bp)		57
Ratings	Foreign	Local
Moody's	A3	A3
S&Ps	BBB+	A-
Fitch	BBB+	A-

Contribution to Changes in Public Debt

	Actual			Projections							
	2008-2016	2017	2018	2019	2020	2021	2022	2023	2024	cumulative	debt-stabilizing primary balance [9/]
Change in gross public sector debt	-0.8	0.9	0.7	0.7	0.2	-0.4	-0.5	-0.4	-0.4	-0.9	-0.1
Identified debt-creating flows	-2.0	1.6	1.5	0.7	0.3	-0.4	-0.4	-0.4	-0.3	-0.5	
Primary deficit	-1.2	2.0	1.0	0.4	0.1	-0.4	-0.4	-0.4	-0.2	-0.9	
Primary (noninterest) revenue and gran	26.2	22.8	24.4	25.0	25.3	25.6	25.6	25.6	25.6	152.6	
Primary (noninterest) expenditure	25.0	24.8	25.4	25.4	25.4	25.2	25.2	25.2	25.3	151.7	
Automatic debt dynamics [5/]	-0.8	-0.4	0.4	0.2	0.2	0.0	0.0	0.0	-0.1	0.4	
Interest rate/growth differential [6/]	-0.8	0.0	0.1	0.2	0.2	0.0	0.0	0.0	-0.1	0.4	
Of which: real interest rate	0.4	0.5	1.0	0.9	1.0	1.0	0.9	0.9	0.8	5.5	
Of which: real GDP growth	-1.2	-0.6	-1.0	-0.6	-0.8	-1.0	-0.9	-0.9	-0.9	-5.1	
Exchange rate depreciation [7/]	0.1	-0.4	0.4	...	...	...	...	...	...	...	
Other identified debt-creating flows	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	
General government net privatization	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	
Contingent liabilities	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	
Please specify (2) (e.g., ESM and Euroa	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	
Residual, including asset changes [8/]	1.2	-0.7	-0.7	0.0	-0.1	-0.1	-0.1	-0.1	-0.1	-0.4	



Source: IMF staff.

1/ Public sector is defined as non-financial public sector and includes public guarantees, defined as .

2/ Based on available data.

3/ EMBIG.

4/ Defined as interest payments divided by debt stock (excluding guarantees) at the end of previous year.

5/ Derived as [(r - π(1+g) - g + ae(1+r)]/(1+g+π+gπ)) times previous period debt ratio, with r = interest rate; π = growth rate of GDP deflator; g = real GDP growth rate; a = share of foreign-currency denominated debt; and e = nominal exchange rate depreciation (measured by increase in local currency value of U.S. dollar).

6/ The real interest rate contribution is derived from the numerator in footnote 5 as r - π (1+g) and the real growth contribution as -g.

7/ The exchange rate contribution is derived from the numerator in footnote 5 as ae(1+r).

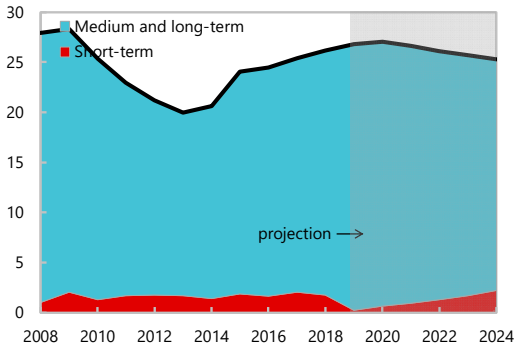
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Figure 2. Peru: Public DSA – Composition of Public Debt and Alternative Scenarios

Composition of Public Debt

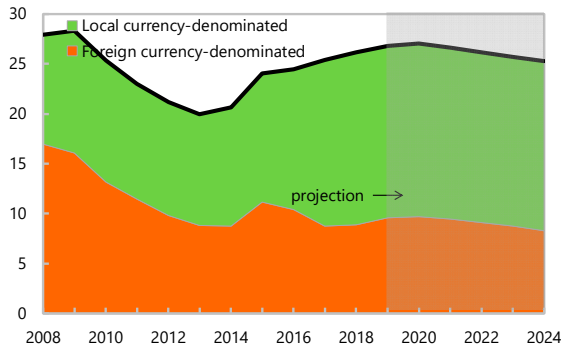
By Maturity

(in percent of GDP)



By Currency

(in percent of GDP)

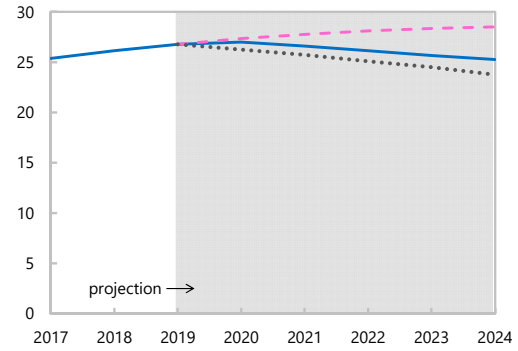


Alternative Scenarios



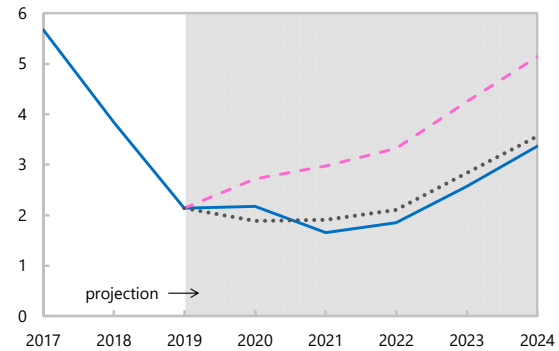
Gross Nominal Public Debt

(in percent of GDP)



Public Gross Financing Needs

(in percent of GDP)



Underlying Assumptions

(in percent)

Baseline Scenario	2019	2020	2021	2022	2023	2024
Real GDP growth	2.4	3.2	3.7	3.7	3.7	3.7
Inflation	2.1	1.9	2.0	2.0	2.0	2.0
Primary Balance	-0.4	-0.1	0.4	0.4	0.4	0.2
Effective interest rate	5.6	6.0	5.9	5.8	5.8	5.4
Constant Primary Balance Scenario						
Real GDP growth	2.4	3.2	3.7	3.7	3.7	3.7
Inflation	2.1	1.9	2.0	2.0	2.0	2.0
Primary Balance	-0.4	-0.4	-0.4	-0.4	-0.4	-0.4
Effective interest rate	5.6	6.0	5.8	5.6	5.4	4.9

Historical Scenario	2019	2020	2021	2022	2023	2024
Real GDP growth	2.4	4.4	4.4	4.4	4.4	4.4
Inflation	2.1	1.9	2.0	2.0	2.0	2.0
Primary Balance	-0.4	0.4	0.4	0.4	0.4	0.4
Effective interest rate	5.6	6.0	5.9	5.8	5.6	5.2

Source: IMF staff.

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